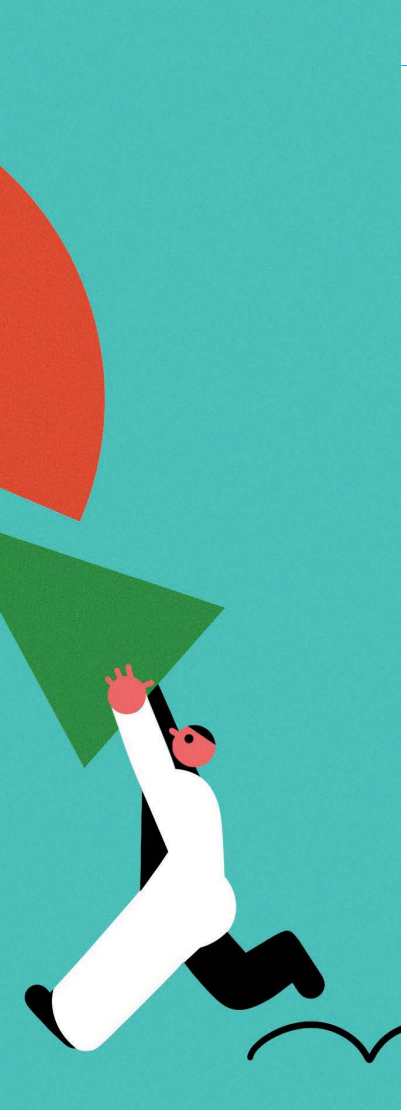


an investment window of over three-five years. Investments in these funds need not be necessarily through SIPs; one could also invest in lump sum. Unlike the BAF (balanced advantage funds) and other hybrid funds that follow a well-defined asset allocation model, multi-asset funds have a fair bit of investment freedom that fund managers rely on. It is for this reason that these funds are risky compared to BAF or conservative hybrid funds. However, in terms of suitability, these are all-weather funds in which one can invest at any point in time to take advantage of the diversification across asset classes this fund offers.

Do explore funds that have a longer performance history. Check the basis of asset allocation principles followed by specific fund schemes to know what you are getting into. It is like opting for a specialist doctor.

Another aspect that favours these funds is the tax treatment, with most funds in this category following the equity category of funds with a minimum 65 per cent exposure to equities. However, if the equity allocation is below 65 per cent, the multi-asset fund is treated as a non-equity category and investors are taxed accordingly at the time of redemption. Choose a multi-asset allocation fund for wider asset allocation choice and wealth-creation in the long run. ■

–Narayan Krishnamurthy

Q&A

High Potential

Presence across asset classes is favourable for investment performance, says Ihab Dalwai, fund manager, ICICI Prudential AMC, who co-manages the largest multi-asset fund in India

Q. COULD YOU TELL US WHAT'S THE NEED FOR A MULTI-ASSET FUND?
Asset allocation is the bedrock of successful long-term investing, and the more the variety of assets that go into your investments, the better the chances for wealth creation. In our fund, apart from equity and debt, we have room for allocation to commodities. The choice to invest across three asset classes provides us with a good mix, which can be used depending on the prevailing market conditions.

Q. HOW DOES THIS FUND HELP INVESTORS?
They get access to a well-balanced asset allocation that has the potential to perform well during all market conditions. We actively manage allocation across asset classes based on our research and insight, giving investors access to this expertise. For instance, during Covid, when equities were out of favour, we factored



in the potential of equities and increased their allocation. For investors, it is not easy to anticipate changes in the market and change the allocation to assets in their portfolio. Moreover, they would also be impacted by taxes if they were to move across asset classes by selling and buying them. The multi-asset fund is tax-efficient in that manner.

Q. THIS FUND HAS THREE MANAGERS. DOESN'T IT LEAD TO CONFLICT OVER THE ASSETS TO CHOOSE?
Each of us is backed by a team of researchers and market insights that we have gained over the years. We regularly meet to discuss asset positions in the fund and base our strategy according to prevailing market conditions and how it would impact the fund's performance in the future. There are also instances when we do have fund managers bringing in their views in a strong way...needing rethinking and change in allocation. We endeavour to follow the investment mandate by sticking to an equity-oriented fund, with tactical positioning in debt and commodities. It has worked well in the long run.

Q. WHAT'S YOUR ADVICE TO INVESTORS? WHO SHOULD INVEST IN IT AND FOR HOW LONG?
Within our offerings, this is a riskier fund than the balanced advantage fund. Having said that, investors could look for a three-to-five-year investment window when investing in this scheme and should prefer lump-sum over SIPs. Given the choice of asset classes to invest in and dynamic fund management, this is a hybrid fund that could weather all market conditions. As it is an equity-oriented fund, investments are treated like equity funds, which investors could consider for long-term wealth creation. ■